CASCADIA ANALYTICS

Netflix, Inc.

Equity Research Note | NFLX | 22 OCTOBER 2026

The operating business keeps compounding

Netflix, Inc. screens as a Hold, Valuation Concerns with a $51.27 blended target, 24% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$67.05	$51.27	-24%	HOLD, VALUATION CONCERNS

Investment Thesis

The operating business keeps compounding. Netflix grew Q3 2026 revenue 11.8% to $12,874M while operating income rose 37% to $4,459M and operating margin expanded to 34.6% from 28.2% a year ago, ahead of the 33.2% guide. Net income rose 44% to $3,664M, diluted EPS of $0.87 beat the $0.82 consensus, and free cash flow was $2,884M [Q3 Letter]. The full year base is equally solid, with FY2025 revenue of $45,183M, a 29.5% operating margin, and free cash flow of $9,461M for a 20.9% free cash flow margin [10-K]. Growth

- The operating business keeps compounding
- Growth is stepping down and the newest lever was trimmed
- The business is healthy and the price already assumes more than our bull case

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The latest print

Growth is stepping down and the newest lever was trimmed. Revenue growth has decelerated through 2026, from 16% in Q1 to 13.4% in Q2 and 11.8% in Q3, and the Q4 2026 guide of $13,442M in revenue, a 26.0% operating margin, and $0.67 of EPS sat below consensus on each line. We note the FY2026 revenue guide held at about $51.1B with the 31.5% margin target maintained, but free cash flow guidance was cut to about $12.0B and ad revenue guidance was cut to about $2.7B from about $3.0B on a slower ad product rollout. Advertising remains a growth driver but a minority of revenue, at about $2.7B guided on about $51.1B.

The business is healthy and the price already assumes more than our bull case. At $67.05 the reverse DCF shows the price embedding a five year revenue CAGR of about 12.0% at the base case average free cash flow margin of 22.79% held flat, above even our bull case CAGR of 9%. Our computed base target of $49.56 sits 26% below the price, so we rate the shares Hold with Valuation Concerns, the house treatment for a healthy business at an overvalued price.

$12,874M	$45,183M	34.6%	$4,459M	$0.87	$6,909M
REVENUE (Q3 2026)	REVENUE (FY2025)	OPERATING MARGIN (Q3 2026)	OPERATING INCOME (Q3 2026)	DILUTED EPS (Q3 2026)	NET DEBT

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q3 2026)	$12,874M	+11.8%	Up
Revenue (FY2025)	$45,183M	+16%	Up
Operating Margin (Q3 2026)	34.6%	28.2% in Q3 2025	Up
Operating Income (Q3 2026)	$4,459M	+37%	Up
Diluted EPS (Q3 2026)	$0.87	Consensus $0.82	Up
Net Debt	$6,909M	Debt $15,132M vs cash and short-term investments $8,223M	Flat
FY2026 Revenue Guide	About $51.1B	Margin guide held at 31.5%	Up

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Netflix, Inc. valuation framework

The moat

All four regions grew at double digit rates in Q3 2026, led by Latin America at 17%, and churn improved year on year in every region and came in better than the company forecast

The growth engine

India revenue grew about 18% on a currency neutral basis in Q3 2026, with viewing hours up 24% and the largest quarter of paid net additions in that market

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	4.0%	$62.17B	26.9%	**$36.54**	-46%
Base	50%	6.0%	$68.38B	31.7%	**$49.56**	-26%
Bull	25%	9.0%	$78.62B	34.7%	**$69.40**	+4%

Bear: downside case at $36.54 (-46%).

Base: central case at $49.56 (-26%).

Bull: upside case at $69.40 (+4%).

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The probability-blended target implies 24% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -24% from the $67.05 reference price.

$51.27
BLENDED TARGET

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The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$51.10B**
Valuation horizon	**2026-2031**
Live WACC	**10.43%**
WACC path (Year 1 to final year)	**10.43% to 8.71%**
Terminal growth	**2.0% / 2.5% / 3.0%**
Net debt	**$6.91B**
2031 FCF (Base)	**$16.44B**
10-year Treasury yield	**5.0%**
Beta	**1.61**
Equity risk premium	**3.6%**

HOLD, VALUATION CONCERNS | $51.27 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 12.1%, above Bull (9%), the market prices in more growth than the bull case.

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Reverse DCF sensitivity

Implied enterprise value and share price at each 6-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$172.4B	$39.44	+20%	$394.4B	$92.36
+1%	$180.1B	$41.29			
+2%	$188.2B	$43.21			
+3%	$196.6B	$45.21			
+4%	$205.2B	$47.28			
+5%	$214.2B	$49.42			
+6%	$223.6B	$51.65			
+7%	$233.3B	$53.95			
+8%	$243.3B	$56.34			
+9%	$253.7B	$58.82			
+10%	$264.4B	$61.38			
+11%	$275.5B	$64.03			
+12%	**$287.0B**	**$66.78**			
+13%	$299.0B	$69.61			
+14%	$311.3B	$72.55			
+15%	$324.0B	$75.59			
+16%	$337.2B	$78.73			
+17%	$350.8B	$81.97			
+18%	$364.9B	$85.32			
+19%	$379.4B	$88.79			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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Netflix, Inc. valuation framework

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$160.19B	—	2.0%	-$6.91B	$153.28B	**$36.54**
Base	$214.83B	—	2.5%	-$6.91B	$207.92B	**$49.56**
Bull	$298.05B	—	3.0%	-$6.91B	$291.15B	**$69.40**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 73.1% of Base enterprise value (Bear 68.4%, Bull 77.1%). The terminal WACC is 8.71% in Base (Bear 8.71%, Bull 8.71%), on a terminal beta of 1.10 (Bear 1.10, Bull 1.10).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031
Bear	$36.54	$40.35	$41.70	$43.09	$44.54	$46.08	$47.69
Base	$49.56	$54.73	$57.57	$60.46	$63.37	$66.30	$69.22
Bull	$69.40	$76.64	$81.77	$86.95	$92.11	$97.20	$102.21

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $51.27 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

All four regions grew at double digit rates in Q3 2026, led by Latin America at 17%, and churn improved year on year in every region and came in better than the company forecast

India revenue grew about 18% on a currency neutral basis in Q3 2026, with viewing hours up 24% and the largest quarter of paid net additions in that market

Advertising passed $1.5B in 2025, up more than two and a half times year on year, with FY2026 ad revenue now guided to about $2.7B, and the ad business passed 4,000 advertisers in Q1 2026, up 70% year on year

Netflix repurchased 63.9M shares for $4.8B in Q3 2026, its largest quarterly buyback, leaving $22.3B of authorization, after buybacks resumed in Q1 2026 following the pause during the Warner Bros. Discovery deal process

Revenue and margin trend

METRIC	FY2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Revenue	$45,183M	$12,051M	$12,250M	$12,560M	$12,874M
Operating Margin	29.5%	24.5%	32.3%	33.4%	34.6%
Operating Income	$13,327M	$2,957M	$3,957M	$4,193M	$4,459M
Free Cash Flow	$9,461M	About $1,900M	$5,094M	$1,525M	$2,884M

Valuation cross-check

Price $67.05

DCF Bear $36.54, Base $49.56, Bull $69.40, Blended $51.27

Market cap about $273.3B on 4,164M shares outstanding

The reverse DCF prices in a five year revenue CAGR of about 12.0% at the base case average free cash flow margin of 22.79% held flat. The scenario set carries five year revenue CAGRs of 4% in the bear case, 6% in the base case, and 9% in the bull case, with terminal free cash flow margins of 20.0%, 24.0%, and 28.0% and terminal growth of 2.0%, 2.5%, and 3.0%. The discount rate is a single live CAPM path, with WACC at 10.51% in FY2026 gliding to 8.81% in FY2031 as beta decays from 1.61 to 1.10, on an equity risk premium of 3.51% and a risk free rate of 5.11%. On that math the market price sits above the base and blended cases and near the bull case.

Netflix reports a single segment, so we do not present a segment peer split that the filings do not support. The useful benchmark is the company against its own cash economics. FY2025

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free cash flow margin was 20.9% and the FY2026 guide of about $12.0B on about $51.1B of revenue implies about 23.5%, while the DCF bridge carries terminal free cash flow margins of 20.0% in the bear case, 24.0% in the base case, and 28.0% in the bull case. The base case therefore asks for only a modest step up from the guided level, and the valuation gap to the price comes from the growth the market embeds, not from an aggressive margin assumption in our model.

Netflix completed a 10 for 1 stock split in November 2025, so all per share figures here are post split. The shares closed at $68.69 on 20-Oct-26 before the Q3 print and traded near the current price after it, falling 4.6% in the post earnings session. That followed falls of 7.3% after Q2 2026 and 9.7% after Q1 2026, a pattern of strong operating prints met with soft guides, which means the entry point still carries an expectations load the recent guides have not supported.

What to monitor

2027. Q4 2026 Earnings (Two-Sided): The guide calls for revenue of $13,442M, a 26.0% operating margin, and diluted EPS of $0.67. Delivery above the lowered bar would steady the growth narrative, while another soft guide would confirm the deceleration the price has not yet absorbed.

2026-2027. Advertising Ramp Pace (Two-Sided): Management cut FY2026 ad revenue guidance to about $2.7B from about $3.0B on a slower rollout of ad product capabilities and partner integration. Evidence that the rollout is back on pace in 2027 would restore the second growth engine, while further slippage pushes more weight back onto pricing and membership growth.

2026-2027. Buyback and Share Count Path (Positive): The Q3 2026 repurchase of 63.9M shares for $4.8B lowered the diluted share count to 4,195.1M in the Q3 2026 10-Q, filed October 21, 2026, and the model now carries that filed count. A sustained record pace of repurchases cushions per share value even if revenue growth stays in the low double digits.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$29.7B	—	$6.2B	—
2022	$31.6B	$12.4B	$5.6B	$20.3B
2023	$33.7B	$14.0B	$7.0B	$21.5B
2024	$39.0B	$18.0B	$10.4B	$26.3B
2025	$45.2B	$21.9B	$13.3B	$30.3B

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Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$44.6B	$28.7B	$15.8B	$6.0B
2022	$48.6B	$27.8B	$20.8B	$5.1B
2023	$48.7B	$28.1B	$20.6B	$7.1B
2024	$53.6B	$28.9B	$24.7B	$7.8B
2025	$55.6B	$29.0B	$26.6B	$9.0B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$393M	$525M	$-1.1B	$917M
2022	$2.0B	$-408M	$-664M	$1.6B
2023	$7.3B	$-349M	$-6.0B	$6.9B
2024	$7.4B	$-440M	$-4.1B	$6.9B
2025	$10.1B	$-688M	$-10.3B	$9.5B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $51.27 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 20 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.57% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $93.33M of sales, a net flow of -$93.33M. One-year total shareholder return is -41.6% against CEO total pay of $12.51M (Mr. Theodore A. Sarandos), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	0.57% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $0 (0) vs sales $93.33M (14), net -$93.33M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -41.6%; Mr. Theodore A. Sarandos, Co-CEO, President & Director, total pay $12.51M
Agency Risk Score	**20 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Netflix, Inc. valuation framework

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-10	Barton Richard N	Director	SELL	1,440	$109.1K
2026-09-08	Barton Richard N	Director	SELL	720	$55.9K
2026-08-10	Neumann Spencer Adam	Chief Financial Officer	SELL	9,248	$700.9K
2026-08-06	Peters Gregory K.	Chief Executive Officer	SELL	27,312	$2.01M
2026-08-05	Barton Richard N	Director	SELL	2,160	$162.2K
2026-08-04	Hyman David A	Officer	SELL	5,723	$416.9K
2026-08-04	Sarandos Theodore Anthony Jr.	Chief Executive Officer	SELL	133,162	$9.73M
2026-06-17	Smith Bradford Lee	Director	SELL	35,990	$2.79M

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker, so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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Netflix, Inc. valuation framework

The bear case

Valuation and Embedded Expectations

The reverse DCF at $67.05 implies the market expects revenue to compound at about 12.0% for five years at the base case average free cash flow margin of 22.79% held flat, a path above our bull case CAGR of 9%. Our base target of $49.56 and blended target of $51.27 both sit well below the price, and only the bull target of $69.40 sits near it, so the margin of safety is negative on the base and blended cases.

Growth Deceleration

Revenue growth has stepped down in three straight quarters, from 16% in Q1 2026 to 13.4% in Q2 and 11.8% in Q3, and the Q4 guide sits below consensus. Our scenario set carries five year revenue CAGRs of 4% in the bear case, 6% in the base case, and 9% in the bull case, so any slide toward the low end of that range leaves the current price with no support from the model.

Advertising Ramp Slower Than Planned

FY2026 ad revenue guidance was cut to about $2.7B from about $3.0B, which the company tied to a slower rollout of ad product capabilities and partner integration. Advertising is the newest growth lever and still a minority of revenue at about $2.7B guided on about $51.1B, so a slower ramp removes the clearest source of upside to the subscription led base case.

Content Spend and Cash Conversion

The bridge is content heavy by construction. In FY2025, depreciation and amortization of $16,756M ran at 37.1% of revenue and capex, defined as cash content spend plus purchases of property and equipment, ran at $18,396M or 40.7% of revenue, yet free cash flow still reached $9,461M. FY2026 free cash flow guidance was cut to about $12.0B from about $12.5B, and if cash content spend stays at the top of the modeled schedule, free cash flow conversion lands below the path behind the base case terminal free cash flow margin of 24.0%.

Earnings Quality and One Off Items

Q1 2026 net income of $5,283M, EPS of $1.23, and free cash flow of $5,094M all included a one time $2.8B Warner Bros. Discovery termination fee received after Netflix walked away from that transaction, so none of those figures is a clean run rate. Buybacks were also paused during that deal process to conserve cash. Q3 margin strength was partly a matter of expense timing, which is why the guided Q4 margin steps down to 26.0%.

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The strengths

Operating Quality

A 34.6% operating margin in Q3 2026, a 29.5% margin and 20.9% free cash flow margin in FY2025, double digit growth in every region, and net debt of only $6,909M against the scale of the business, held back only by the heavy content spend the model requires.

Recent Trend

Margin, profit, and cash flow all beat plan in Q3 2026, with operating income up 37% and EPS above consensus, but revenue growth decelerated for a third straight quarter and the Q4 guide, the free cash flow guide, and the ad revenue guide were all trimmed.

Forward Growth

FY2026 revenue is guided to about $51.1B with the 31.5% margin target held, paid memberships crossed 325M at the end of 2025, and advertising is guided to about $2.7B, against a modeled five year base case CAGR of 6% as the base scales and price led growth annualizes.

Valuation

The computed base target of $49.56 offers 26% downside from $67.05 and the blended target of $51.27 offers 24% downside, while the reverse DCF shows the price embedding growth above the bull case.

Cascadia scorecard

Composite score 54: Fair. Confidence High, as of 21-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	A 34.6% operating margin in Q3 2026, a 29.5% margin and 20.9% free cash flow margin in FY2025, double digit growth in every region, and net debt of only $6,909M against the scale of the business, held back only by the heavy content spend the model requires.	82
Recent Trend	Margin, profit, and cash flow all beat plan in Q3 2026, with operating income up 37% and EPS above consensus, but revenue growth decelerated for a third straight quarter and the Q4 guide, the free cash flow guide, and the ad revenue guide were all trimmed.	62
Forward Growth	FY2026 revenue is guided to about $51.1B with the 31.5% margin target held, paid memberships crossed 325M at the end of 2025, and advertising is guided to about $2.7B, against a modeled five year base case CAGR of 6% as the base scales and price led growth annualizes.	58
Valuation	The computed base target of $49.56 offers 26% downside from $67.05 and the blended target of $51.27 offers 24% downside, while the reverse DCF shows the price embedding growth above the bull case.	24
Catalysts & Risk	The Q4 print, the pace of the ad rollout, and a record buyback are live catalysts in both directions, balanced against decelerating growth, a below consensus guide, and an expectations bar set above the bull case.	48

Investment view

Sustained revenue growth at or above the bull case path of 9% with the operating margin holding near the guided 31.5% level and free cash flow margin moving toward the base case terminal level of 24.0% would pull the equity toward the bull target of $69.40 and force our base case up. A further step down in growth toward the bear case path of 4%, another cut to the ad revenue ramp, or free cash flow guidance slipping again would expose how much of the price depends on growth above the bull case and move the equity toward the bear target of $36.54.

Investment view: Hold, Valuation Concerns. The $51.27 blended target implies -24%, balancing the $36.54 / $49.56 / $69.40 Bear / Base / Bull outcomes.

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